Block practice · Unemployment, poverty and fiscal policy

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Poverty and inequality: meanings and why governments act

Unemployment: meaning, measurement and types

Percentage share of a total, including unemployment rate

Fiscal policy: taxes, spending and macroeconomic objectives

Total revenue from direct or indirect taxes

Reducing poverty: progressive tax, benefits, education, healthcare

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Practice workbook · Poverty and inequality: meanings and why governments act

Absolute and relative poverty, income inequality, and why governments reduce them.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-20

1. Question 2 · part e · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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1. Question 2 · part e · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

In March 2021, the Scottish Government announced a package of measures worth £37.2m. This money is to be given to low income households to tackle poverty and inequality in Scotland.

(e) Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality.

(3)

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1. Question 2 · part e · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

(f) Using the diagram below, label the remaining **three** stages of the economic cycle in the boxes on the diagram.

(3)

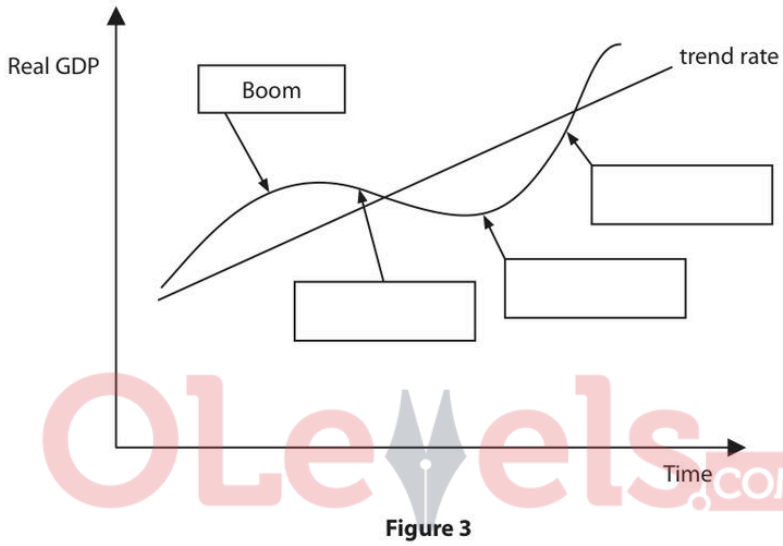


Figure 3

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P 7 1 5 5 7 A 0 8 2 0

1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 2 · part d · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) GDP per capita is a measure of a country's economic output that accounts for population.

If Sweden has a population of 10 million and a GDP of $511 bn (1bn = 1 000 000 000), then its GDP per capita is

(1)

- ☒ **A** $511
- ☒ **B** $5 110
- ☒ **C** $51 100
- ☒ **D** $511 000

(b) What is the name of the policy that focuses on interest rate changes?

(1)

- ☒ **A** Deregulation
- ☒ **B** Exchange rate
- ☒ **C** Monetary
- ☒ **D** Fiscal

(c) State **one** impact of a current account deficit.

(1)

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(d) What is meant by the term absolute poverty?

(2)

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2. Question 2 · part d · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In December 2017 the Thai baht appreciated to its highest value in 2 years against the US dollar. The Thai baht is predicted to continue its gradual appreciation in 2018.

(e) Explain **one** disadvantage of an appreciating currency for an economy such as Thailand.

(3)

President Xi Jinping of China has made environmental protection a priority. This is due to rising public concern over widespread environmental damage caused by years of uncontrolled economic growth.

(f) Explain **one** possible negative effect on the environment caused by the economic growth of a country such as China.

(3)

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2. Question 2 · part d · 2 marks · Working and answer

Working and answer

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3. Question 2 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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P 5 8 3 8 4 A 0 8 2 4

3. Question 2 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

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(d) What is meant by the term relative poverty?

(2)

In Manchester, UK, over 350,000 motorists have been issued with parking fines of £30. This gave the local government of Manchester additional revenue of £10.4m in one year.

(e) Explain **one** advantage for a local government, such as Manchester, of issuing parking fines.

(3)

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3. Question 2 · part d · 2 marks · Working and answer

Working and answer

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4. Question 2 · part c · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

(d) What is meant by the term infrastructure?

(2)

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4. Question 2 · part c · 1 mark · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part b · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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7. Question 3 · part b · 1 mark · Working and answer

Working and answer

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8. Question 1 · part c · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

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(c) What is meant by the term income inequality?

(2)

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8. Question 1 · part c · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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8. Question 1 · part c · 2 marks · Working and answer

Working and answer

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9. Question 2 · part d · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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9. Question 2 · part d · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In March 2020, the European Central Bank (ECB) purchased €1.85 trillion worth of assets including government bonds and corporate bonds.

(e) Explain **one** benefit of asset purchasing by a central bank such as the ECB.

(3)

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9. Question 2 · part d · 2 marks · Working and answer

Working and answer

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10. Question 1 · part a · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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10. Question 1 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Unemployment: meaning, measurement and types

Definition of unemployment, the ILO measure and rate, and the five types (cyclical, structural, seasonal, voluntary, frictional) with their causes.

20 question parts: 1 worked-example retry and 19 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-11

1. Question 3 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

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3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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1. Question 3 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

Data from China revealed that the unemployment rate for young people aged 16 to 24 was 14.9% in December 2023. The number of new graduates significantly exceeded the available jobs, most of which were in lower-skilled sectors.

(c) Explain **one** reason why some people might suffer from structural unemployment in a country such as China.

(3)

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1. Question 3 · part c · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part c only.

Owners of small firms in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) increased from 3.9% in November to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 2 shows the UK's unemployment rates for 16–64 year olds in different regional areas in December 2018.

UK regions	Unemployment rate (%)
The North of England	4.8
The Midlands	4.6
East England	4.3
London and South East	2.9
South West England	3.0

Figure 2

(Source: https://www.ons.gov.uk/employmentandlabourmarket/peopleinwork/employmentandemployeetypes/bulletins/regionallabourmarket/latest)

(a) Calculate, to **two** decimal places, the **average rate of unemployment** in the UK in December 2018. You are advised to show your working.

(2)

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) With reference to the data in **Figure 2** and your knowledge of economics, analyse **one** possible reason why rates of unemployment vary in the different regional areas of the UK.

(6)

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20

P 5 8 3 8 5 A 0 2 0 2 4

3. Question 4 · part b · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

A report by accountancy firm PwC said that the UK could boost its GDP by around £40bn a year if it reduces the number of young people who are not in education, employment or training. The UK only ranks 19th out of 35 countries on this latest report, with Germany performing the best in the EU.

John Hawksworth, chief economist at PwC UK, comments, "Employers need to work with universities, schools and other educational providers to ensure young people have the skills they need for the age of automation. They also need to help in retraining older workers to adapt to these new technologies".

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in education and training is the most effective way to reduce unemployment for a country such as the UK.

(12)

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21

Turn over

3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 1 · part c · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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P 5 8 3 8 4 A 0 2 2 4

4. Question 1 · part c · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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4. Question 1 · part c · 2 marks · Working and answer

Working and answer

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5. Question 1 · part a · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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6. Question 1 · part a · 1 mark · Working and answer

Working and answer

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

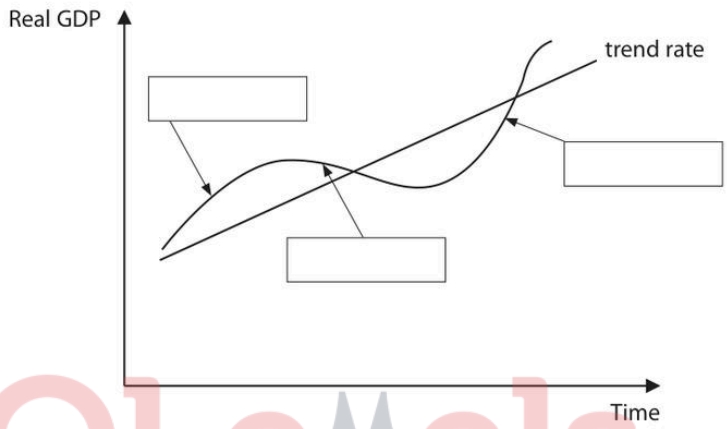


Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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7. Question 1 · part g · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

The World Trade Organisation (WTO) has estimated that improvements in ship containerisation have lowered sea transportation costs by over 70%. Air-freight costs have fallen by a similar amount.

(h) Analyse how the reduced cost of transport has contributed to the increase in globalisation.

(6)

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7. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part a · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voluntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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8. Question 1 · part a · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 2 · part c · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment. (1)

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(d) What is meant by the term recovery? (2)

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10. Question 2 · part c · 1 mark · Working and answer

Working and answer

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11. Question 1 · part a · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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11. Question 1 · part a · 1 mark · Working and answer

Working and answer

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12. Question 2 · part a · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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12. Question 2 · part a · 1 mark · Working and answer

Working and answer

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13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

In May 2020, China introduced a tariff of 80% on Australian barley.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

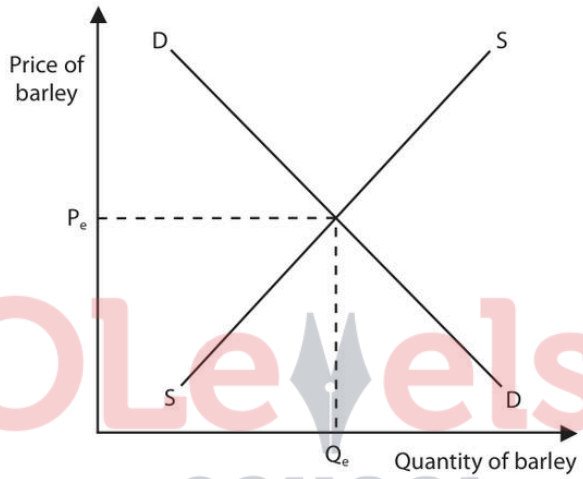


Figure 2

Tourism is a major sector in the French economy. It employs around 2 million people, both directly and indirectly.

(g) Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France.

(3)

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P 7 1 5 5 7 A 0 4 2 0

13. Question 1 · part g · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part g only.

In December 2020, Australia had a current account surplus of $18.1bn, a rise of $4.4bn on the previous quarter.

(h) Analyse the benefits of a current account surplus for a country such as Australia.

(6)

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(Total for Question 1 = 20 marks)

13. Question 1 · part g · 3 marks · Working and answer

Working and answer

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14. Question 1 · part b · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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14. Question 1 · part b · 1 mark · Working and answer

Working and answer

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15. Question 2 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

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(d) What is meant by the term seasonal unemployment?

(2)

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15. Question 2 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

In 2022, Vietnam's economy grew by 8.02%, exceeding its annual target of 6.5%.

(e) Explain **one** reason why rapid economic growth may be harmful for an economy such as Vietnam.

(3)

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15. Question 2 · part d · 2 marks · Working and answer

Working and answer

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16. Question 1 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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P 7 2 9 7 0 R A 0 2 2 4

16. Question 1 · part b · 1 mark · Working and answer

Working and answer

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17. Question 2 · part a · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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17. Question 2 · part a · 1 mark · Working and answer

Working and answer

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18. Question 2 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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18. Question 2 · part b · 1 mark · Working and answer

Working and answer

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

(3)

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the US dollar ($).

(f) Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

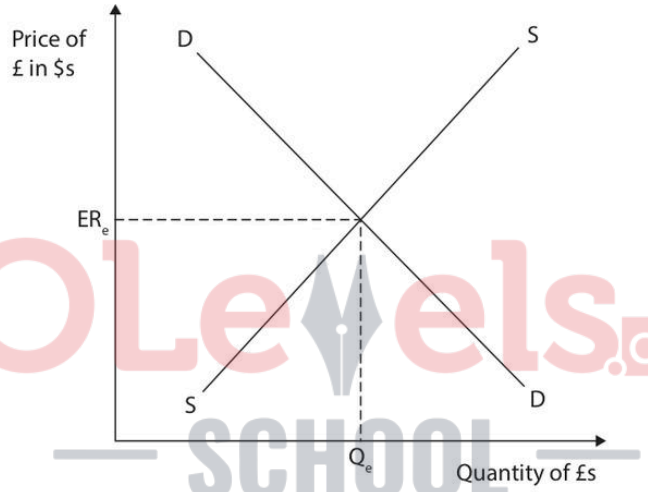


Figure 3

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P 7 5 9 5 5 A 0 1 0 2 8

19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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ChatGPT is the latest example of artificial intelligence (AI)* technology. There are increased concerns that AI will cause the loss of jobs for millions of workers. This includes Wall Street traders, salespeople, writers of basic computer code and journalists.

IBM has stopped recruiting for 7,800 jobs that could be eventually replaced by AI. British Telecom (BT) predicted that AI would replace 10,000 jobs by 2030.

**The use of computer systems to perform tasks normally undertaken by humans.*

(g) With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment.

(9)

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19. Question 2 · part g · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

19. Question 2 · part g · 9 marks · Working and answer

Working and answer

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20. Question 1 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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P 7 2 1 3 5 A 0 2 2 8

20. Question 1 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Percentage share of a total, including unemployment rate

One figure as a percentage of a larger total at one time: the unemployment rate (unemployed over labour force), spending share, people in poverty, workforce share, deficit as a share of output.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-15

1. Question 4 · part a · 2 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

4 Figure 4 shows data on the number of people in the labour force in the Netherlands in December 2021.

Labour force	9,210,000
Unemployed	251,000

Figure 4

(Source: https://tradingeconomics.com/netherlands/unemployment-rate)

(a) Calculate, to two decimal places, the **rate of unemployment** in the Netherlands in December 2021. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part a only.

Figure 5 shows the rate of inflation (%) for the Netherlands from January 2021 until November 2021.

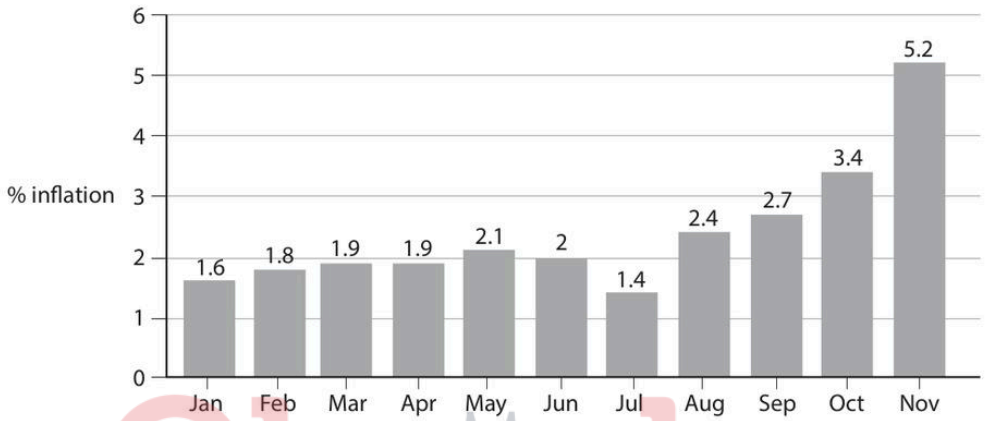


Figure 5

(Source: https://tradingeconomics.com/netherlands/inflation-cpi)

(b) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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2. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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2. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of a good. Label the new curve, the new equilibrium price and quantity.

(3)

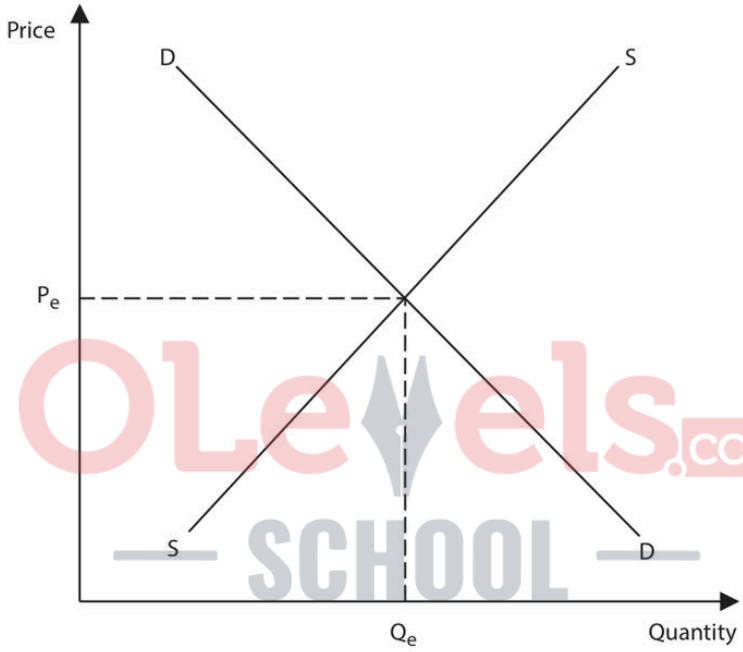


Figure 1

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P 5 8 3 8 4 A 0 4 2 4

2. Question 1 · part e · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

4 Figure 4 shows the $618 bn spent by India on existing infrastructure projects in 2019.

Existing infrastructure projects	$bn
Renewable energy	200
Railways	147
Roads and highways	109
Metro rail	109
Smart cities	32
Airports and ports	21
Total	**618**

Figure 4

(Source adapted from: https://www.businessinsider.in/Nearly-half-of-Narendra-Modis-1-4-trillion-new-infrastructure-promise-may-be-already-approved-projects/Existing-promises/slideshow/68795905.cms)

(a) Calculate, to two decimal places, **the percentage** of spending on all existing infrastructure projects that was spent on renewable energy in India in 2019.
You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

Figure 5 shows the average unemployment rate (%) in India between 2016 and April 2020.



Figure 5

(Source adapted from: https://www.statista.com/chart/20014/unemployment-rate-india/)

(b) With reference to the data above and your knowledge of economics, analyse the impact of rising unemployment rates on business confidence for a country such as India.

(6)

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P 6 6 3 2 9 A 0 1 8 2 4

3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 4 · part a · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part a only.

4 Figure 4 shows labour force information for Mexico in the third quarter of 2020.

Labour force	51,011,033
Number of unemployed	2,769,491

Figure 4

(Source adapted from: https://tradingeconomics.com/mexico/unemployed-persons)

(a) Calculate, to two decimal places, the **rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working.

(2)

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P 7 1 5 5 7 A 0 1 6 2 0

4. Question 4 · part a · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part a only.

In Mexico the minimum wage was increased by 15% to 141.7 pesos (US $7.15) in 2021. Nearly 11 million workers in Mexico are paid the minimum wage.

(b) Analyse the impact of increasing wages on inflation in Mexico.

(6)

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4. Question 4 · part a · 2 marks · Working and answer

Working and answer

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5. Question 1 · part e · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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5. Question 1 · part e · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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5. Question 1 · part e · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

In January 2023, China introduced a tariff on imports of large tyres.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

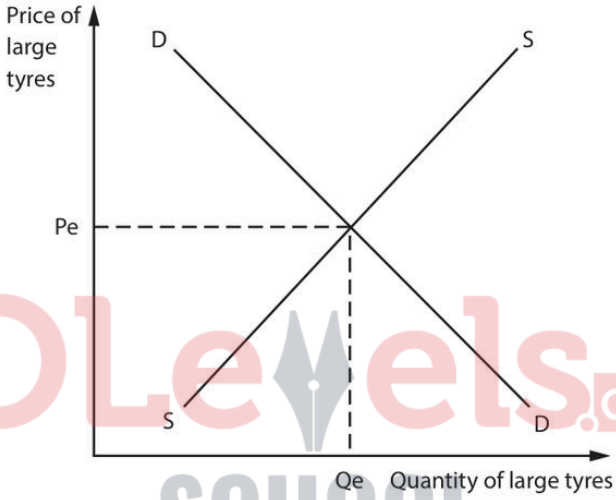


Figure 1

In January 2023, China and Ecuador announced they would be signing a free trade agreement after a year of negotiations. The deal is expected to boost Ecuador's exports of shrimp, bananas, flowers, cocoa and coffee to China.

(g) Explain **one** advantage of free trade for businesses in Ecuador.

(3)

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5. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 4 · part a · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part a only.

4 Figure 5 shows population data for Kazakhstan in 2022.

	2022
Population	19,700,000
Number of people living in relative poverty	3,063,500

Figure 5

(a) Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working.

(2)

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6. Question 4 · part a · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part a only.

In 2023, the Kazakhstan Government privatised KTZ, its national railway company. KTZ is the largest employer in Kazakhstan and makes a profit from its operations.

(b) With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company.

(6)

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6. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 4 · part a · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

4 Figure 5 shows the population of Ghana and the number of people employed on small cocoa farms in Ghana in 2024.

	2024
Population	34,532,935
Employed on small cocoa farms	867,000

Figure 5

(a) Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working.

(2)

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7. Question 4 · part a · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

In June 2023, the Vice-President of Ghana, Dr Mahamudu Bawumia, agreed to the building of a 31.2 km highway costing $50m. The construction is part of a 67 km highway that would link central areas of Ghana to the northern regions and neighbouring countries.

(b) With reference to the data above and your knowledge of economics, analyse how spending on road infrastructure could benefit a country such as Ghana.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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8. Question 3 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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8. Question 3 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

Data from China revealed that the unemployment rate for young people aged 16 to 24 was 14.9% in December 2023. The number of new graduates significantly exceeded the available jobs, most of which were in lower-skilled sectors.

(c) Explain **one** reason why some people might suffer from structural unemployment in a country such as China.

(3)

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8. Question 3 · part b · 1 mark · Working and answer

Working and answer

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9. Question 1 · part e · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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9. Question 1 · part e · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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9. Question 1 · part e · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

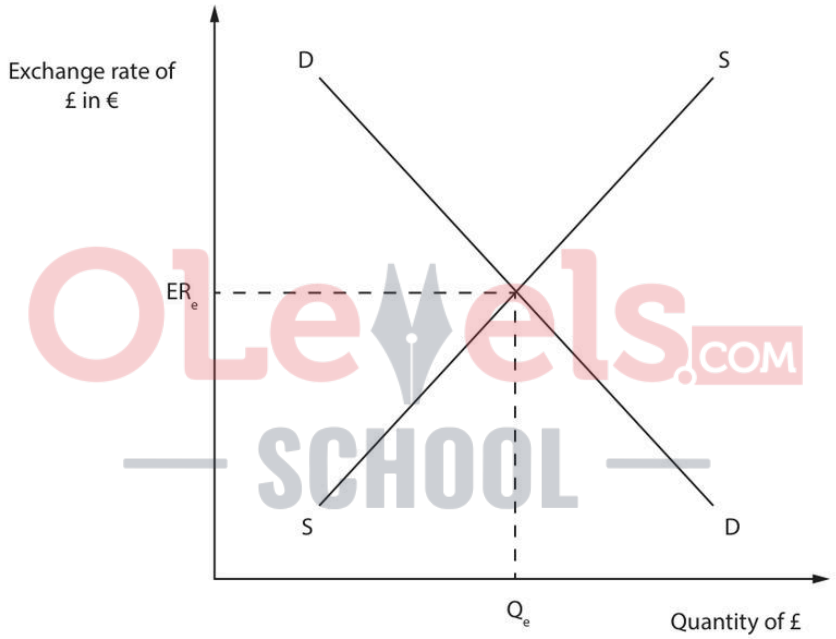


Figure 1

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P 7 8 9 6 3 A 0 4 2 8

9. Question 1 · part e · 2 marks · Working and answer

Working and answer

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Practice workbook · Fiscal policy: taxes, spending and macroeconomic objectives

Definition of fiscal policy, direct versus indirect taxes and sources of government revenue, and how changes in taxes and government spending affect unemployment, inflation, growth and living standards.

16 question parts: 1 worked-example retry and 15 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-26

1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

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3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

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Lithium is used in batteries to power various electrical and electronic goods including mobile phones and electric cars. Lithium has to be mined from the ground and large deposits are found in countries such as Chile. Lithium mining uses a lot of water – approximately 2 million litres per tonne of lithium.

(d) Analyse how business activity can damage the environment in a country such as Chile.

(6)

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

The number of unemployed people in Spain reached 4 million in February 2021. This was a rise of 44,436 people from the previous month and was the highest level since May 2016. This was the fifth monthly increase in unemployment. The sectors most affected included tourism and commerce. The only sector that made a recovery was construction.

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain.

(9)

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part e only.

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(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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10

P 6 0 7 5 0 A 0 1 0 2 0

2. Question 3 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

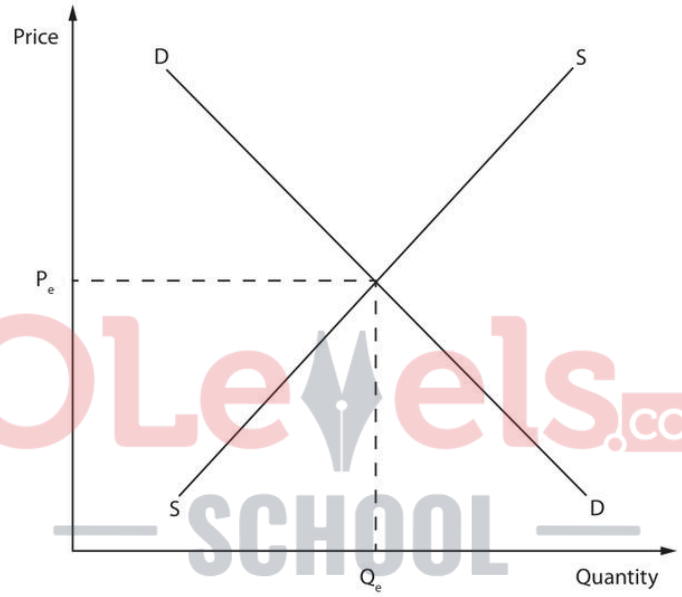


Figure 1

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3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

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In 2017 the US government wanted to introduce a 300% tariff on imported aircraft made by Canadian manufacturer Bombardier.

(g) Explain **one** way the World Trade Organisation could promote free trade between countries such as Canada and the US.

(3)

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P 6 0 7 4 8 A 0 5 2 4

3. Question 1 · part h · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part h only.

In January 2018, Australia had an unemployment rate of 5.5%.

(h) Analyse how the Australian government might reduce unemployment by using fiscal policy.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part h · 6 marks · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

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P 6 0 7 4 8 A 0 7 2 4

7

Turn over ▶

4. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) What is calculated by using the consumer price index (CPI)?

(1)

- ☒ **A** Redistribution of income
- ☒ **B** Inflation rate
- ☒ **C** Economic growth
- ☒ **D** Exchange rate

(b) The sale or transfer of public sector assets to the private sector is known as

(1)

- ☒ **A** monetary policy
- ☒ **B** public expenditure
- ☒ **C** privatisation
- ☒ **D** fiscal policy

(c) What is meant by the term boom?

(2)

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5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) What is meant by the term shoe leather costs?

(2)

(e) Calculate **the price in Indian Rupees (INR)** of machinery which costs $150 000 when the exchange rate is $1 = 70.66 INR. You are advised to show your working.

(2)

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P 5 8 3 8 5 A 0 3 2 4

5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the supply and demand of the pound (£) in terms of the euro (€).

(f) Using the diagram below, draw the effects on the exchange rate of the pound (£) of a decrease in UK exports to Eurozone countries. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

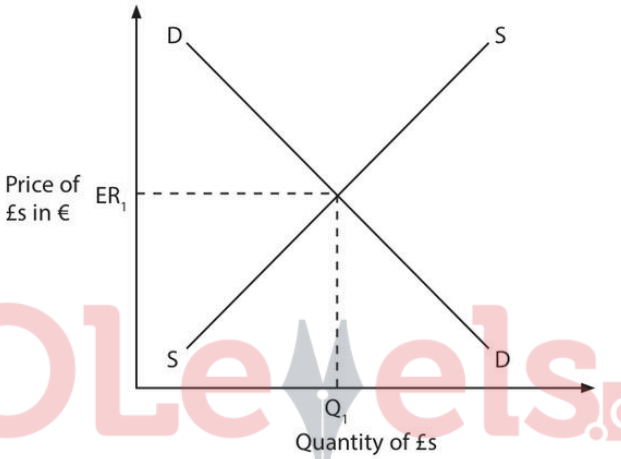


Figure 1

In November 2018, China launched its first ever anti-dumping investigation against Australia over the export of Australian barley.

(g) Explain **one** reason why a country such as Australia might export its products below the cost of production.

(3)

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5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

Vietnam has progressive income tax rates that range from 5% to 35% depending on income.

(h) Analyse how a reduction in direct taxation is likely to affect the standard of living in a country such as Vietnam.

(6)

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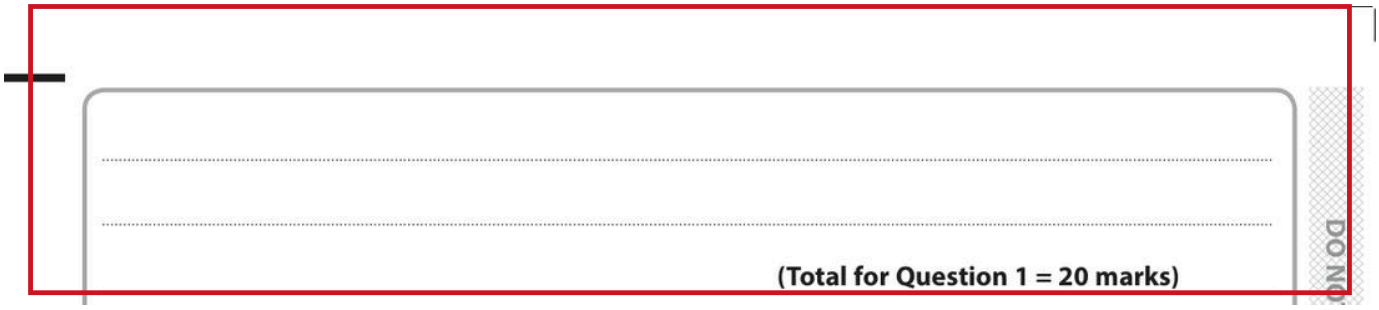
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Turn over

5. Question 1 · part h · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.



Working and answer

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6. Question 3 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

4 Figure 3 shows the government revenue and expenditure (€m) for Estonia in 2018.

2018	€m
Government revenue	8 119 601
Government expenditure	8 197 243
Fiscal surplus/deficit	

(Source adapted from: https://www.stat.ee/53721)

Figure 3

(a) Calculate in €m the **fiscal surplus/deficit** for Estonia in 2018. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

Estonia's annual inflation rate increased to 4.4% in October 2018.

(b) Analyse how the Estonian Government might use fiscal policy to control inflation.

(6)

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7. Question 4 · part b · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

In 2019, the Estonian Government increased the subsidy for public transport by €9 m to €101m. The subsidy for bus services grew from €34.8 m to €43.3 m in 2019.

Minister of Economic Affairs and Infrastructure Kadri Simson said, "Greater support for public transport services will ensure better mobility as well as reduce cars on the road and reduce pollution of the environment. The subsidies also make movement easier for less well-off residents. Due to subsidised bus services, the number of passengers grew by 33% in one month."

The minister described local air services as one of the priorities for the Estonian Government in regional development. Air services to the major Western Estonian islands of Saaremaa and Hiiumaa have been given €5.53 m, more than double the €2.6 m subsidy they received last year.

(Source adapted from: https://news.err.ee/863306/public-transport-subsidy-to-increase-to-101-million-next-year)

(c) With reference to the data above and your knowledge of economics, evaluate the advantages of using subsidies for public transport to protect the environment for a country such as Estonia.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 2 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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8. Question 2 · part d · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

In December 2019 the unemployment rate in Venezuela was approximately 44%.
This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

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By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

(3)

8. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

OLevels.COM SCHOOL

9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

In December 2019, the UK and the European Union (EU) negotiated North Sea fishing quotas for 2020. It was agreed to increase the fishing quota for haddock by 30%.

(f) Using the diagram below, draw the effects of the introduction of the new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

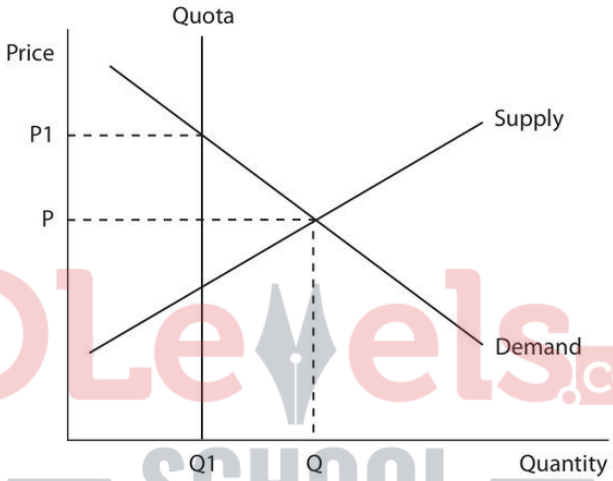


Figure 2

Norway had a current account surplus of 19.07bn Norwegian Krone (NOK) in the fourth quarter of 2019.

(g) Explain **one** possible reason why a country such as Norway had a current account surplus.

(3)

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P 6 6 3 2 9 A 0 4 2 4

9. Question 1 · part h · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part h only.

The rate of Value Added Tax (VAT), a type of indirect taxation in the UK, is 20%.

(h) With reference to the data above and your knowledge of economics, analyse how a reduction in indirect taxation is likely to affect the standard of living in a country such as the UK.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part h · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 Figure 3 shows the gross domestic product (GDP) per capita for Egypt in 2019 and 2020.

	2019	2020
GDP per capita US$	3 043	3 561

Figure 3

(Source adapted from: https://www.statista.com/statistics/377353/gross-domestic-product-gdp-per-capita-in-egypt/)

(a) Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working.

(2)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

Figure 4 shows the quarterly current account deficit (US$m) for Egypt from January 2018 until October 2020.

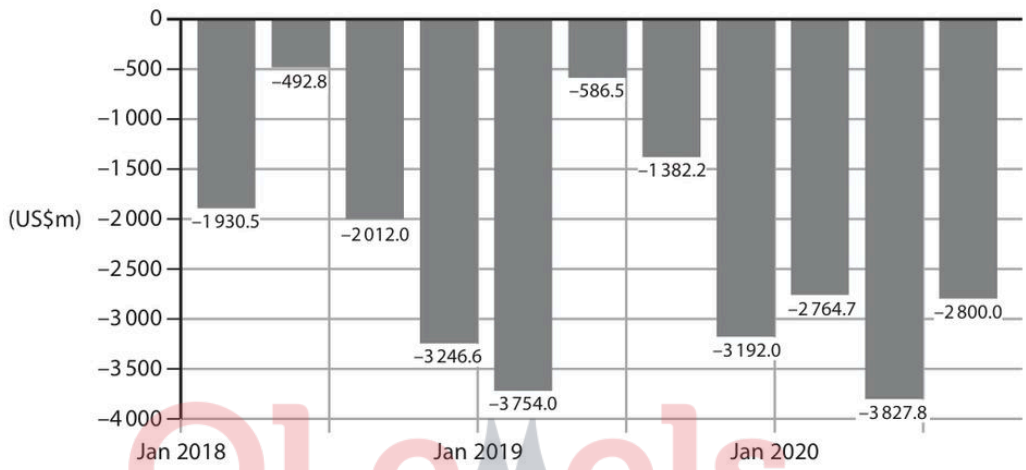


Figure 4

(Source adapted from: https://tradingeconomics.com/egypt/current-account)

(b) Analyse the possible impact on Egypt of having a continuous current account deficit.

(6)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

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P 7 1 5 5 8 A 0 2 0 2 4

10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

The Egyptian economy is expected to grow between 2.8% and 4% in the financial year 2020–2021. Even higher levels of economic growth are forecast for the following year.

Unemployment rates have fallen to 7.3% in the third quarter of 2020 from 7.8% in 2019. Egypt's annual inflation rate increased to 6.3% in 2020, up from 2.7% in 2019.

(Source adapted from: https://www.arabnews.com/node/1770221/business-economy)

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which fiscal policy can be used to control inflation in a country such as Egypt.

(12)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.



10. Question 4 · part c · 12 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

10. Question 4 · part c · 12 marks · Working and answer

Working and answer

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11. Question 2 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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11. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

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In March 2023, as part of its supply-side policy, the Italian Government announced business taxes would be reduced from 27% to 24% in January 2024.

(c) Explain the likely impact on productivity of this change in business taxes for a country such as Italy.

(3)

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12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

The Clean Air Act (CAA) is an important regulation that sets standards for air quality in the US. The CAA regulates emissions from cars, trucks and buses.

(d) With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US.

(6)

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12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

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12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

Australia has a progressive income tax system. Individuals are allowed to earn $18 200 before paying any tax. The rate of tax payable increases as income gets higher.
In recent years, income tax has been the fastest growing source of government revenue in Australia.

Australian Government revenue 2022–2023

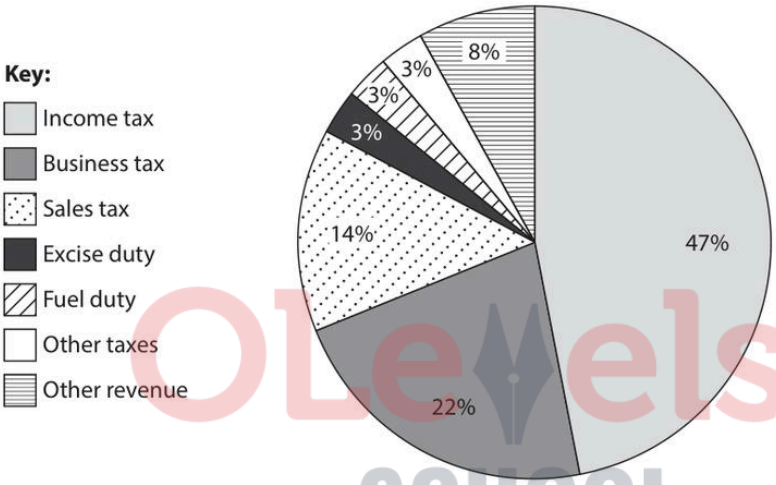


Figure 4

(e) With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia.

(9)

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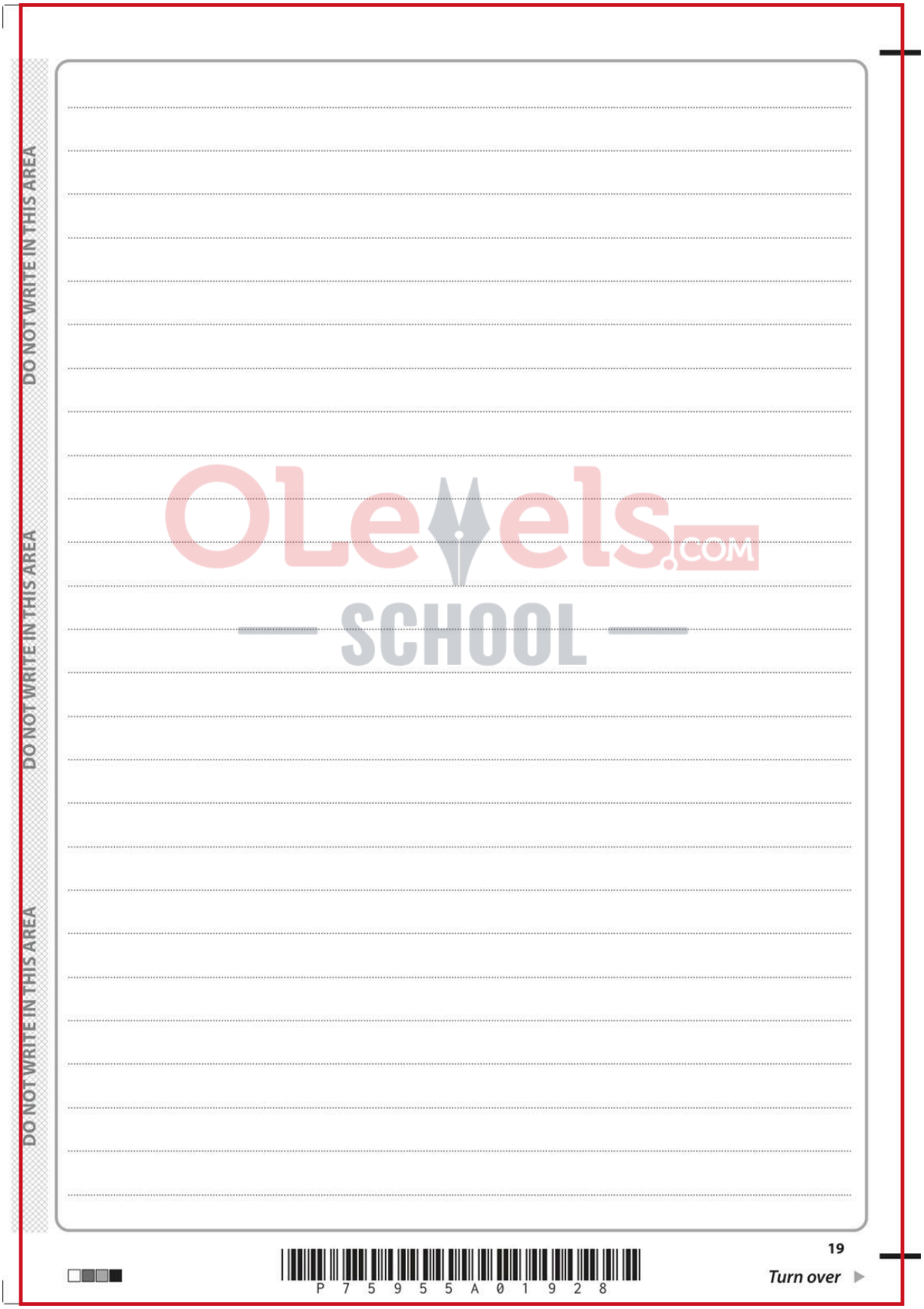
18

P 7 5 9 5 5 A 0 1 8 2 8

12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.



12. Question 3 · part e · 9 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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12. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 2 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

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(d) What is meant by the term direct tax?

(2)

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13. Question 2 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

In February 2024, North Tyneside Council in the UK said it will privatise the provision of school meals. Trade unions are concerned that this will affect pay and working conditions for the existing employees who currently provide the meals at schools.

(e) Explain **one** disadvantage of privatising the provision of school meals in North Tyneside.

(3)

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13. Question 2 · part d · 2 marks · Working and answer

Working and answer

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14. Question 2 · part d · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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14. Question 2 · part d · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

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P 7 2 1 3 4 A 0 9 2 8

14. Question 2 · part d · 2 marks · Working and answer

Working and answer

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15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

4 France is one of the UK's largest export markets. In 2023, the total of UK exports to France was valued at £45bn.

The average exchange rate of £ to € was £1 = €1.15 in 2023.

(a) Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.

(2)

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P 7 8 9 6 3 A 0 2 0 2 8

15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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France is Europe's second largest consumer base with a high-income population. The French retail market is highly developed and its luxury sector is well known around the world. When exporting to France, UK firms must consider factors such as quality in order to be successful in this very competitive market.

(b) With reference to the data above and your knowledge of economics, analyse why an improvement in the quality of UK goods may result in a positive impact on the UK's current account.

(6)

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15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

As part of its fiscal policy, the UK Government has promised additional funding and increased pay for doctors over the next five years to help the country's struggling healthcare system.

The UK public healthcare system is under considerable strain. For several months hospitals have been dealing with a lack of staff and long waiting times for medical care, with surgeries postponed or cancelled. At the end of April 2024, 7.6 million people were still waiting for treatment.

The UK's healthcare system is paid for by taxpayers to provide free access to hospital and doctor services for all citizens. The government is unsure how this additional investment will be funded and currently spends around 9.3% of its gross domestic product (GDP) on healthcare.

(c) With reference to the data above and your knowledge of economics, evaluate the possible economic benefits of increasing government expenditure on healthcare for a country such as the UK.

(12)

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15. Question 4 · part c · 12 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.



15. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

15. Question 4 · part c · 12 marks · Working and answer

Working and answer

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16. Question 2 · part b · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part b only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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P 5 8 3 8 4 A 0 8 2 4

16. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Total revenue from direct or indirect taxes

Adding the revenue from only direct taxes (on income and profits) or only indirect taxes (on spending) from a government revenue table.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-20

1. Question 1 · part e · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

OLevels.COM SCHOOL

(c) What is meant by the term monetary policy?

(2)

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1. Question 1 · part e · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

P 7 2 9 7 0 R A 0 3 2 4

3

Turn over ▶

1. Question 1 · part e · 2 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

In March 2023, the Government of Ghana announced it was removing fuel subsidies on petroleum.

(f) Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

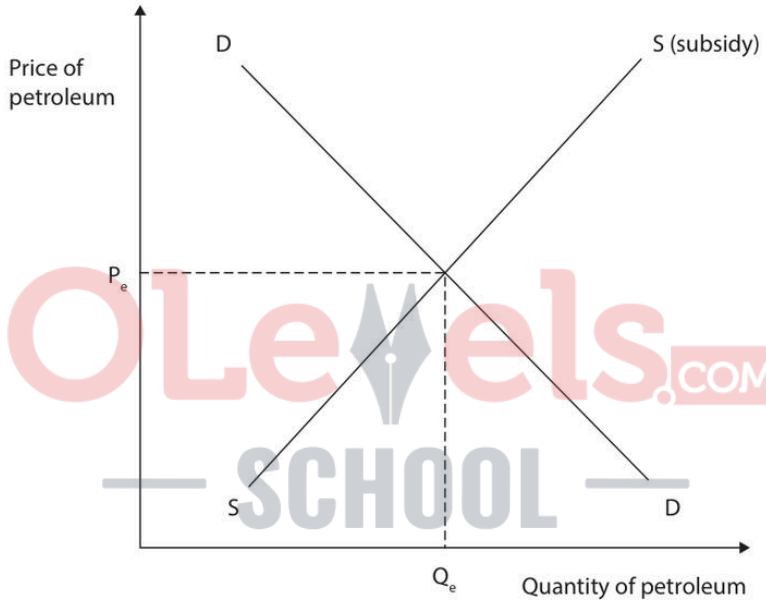


Figure 2

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part a · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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2. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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P 6 5 8 9 9 R A 0 1 0 2 0

3. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part e · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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4. Question 1 · part e · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

4. Question 1 · part e · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

In January 2023, China introduced a quota on imports of crude oil into the country.

(f) Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

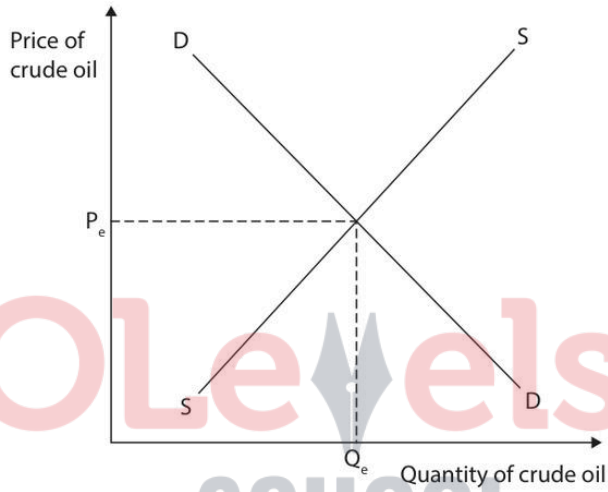


Figure 2

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4. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Reducing poverty: progressive tax, benefits, education, healthcare

The interventions listed for redistribution: progressive taxation, benefit payments, and investment in education and healthcare, how each narrows gaps or lifts people out of poverty, and their drawbacks.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T21-21

1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

4 Figure 5 shows the gross domestic product (GDP) for India in 2021 and 2022.

	2021	2022
GDP ($bn)	3 150.31	3 385.09

Figure 5

(a) Calculate, to two decimal places, the **percentage change in GDP** for India between 2021 and 2022. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

The Indian Government offers many different benefit payments and other provisions to very low-income individuals and families to help to reduce poverty. These include cash transfers, food rations and training courses for unemployed workers.

(b) With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India.

(6)

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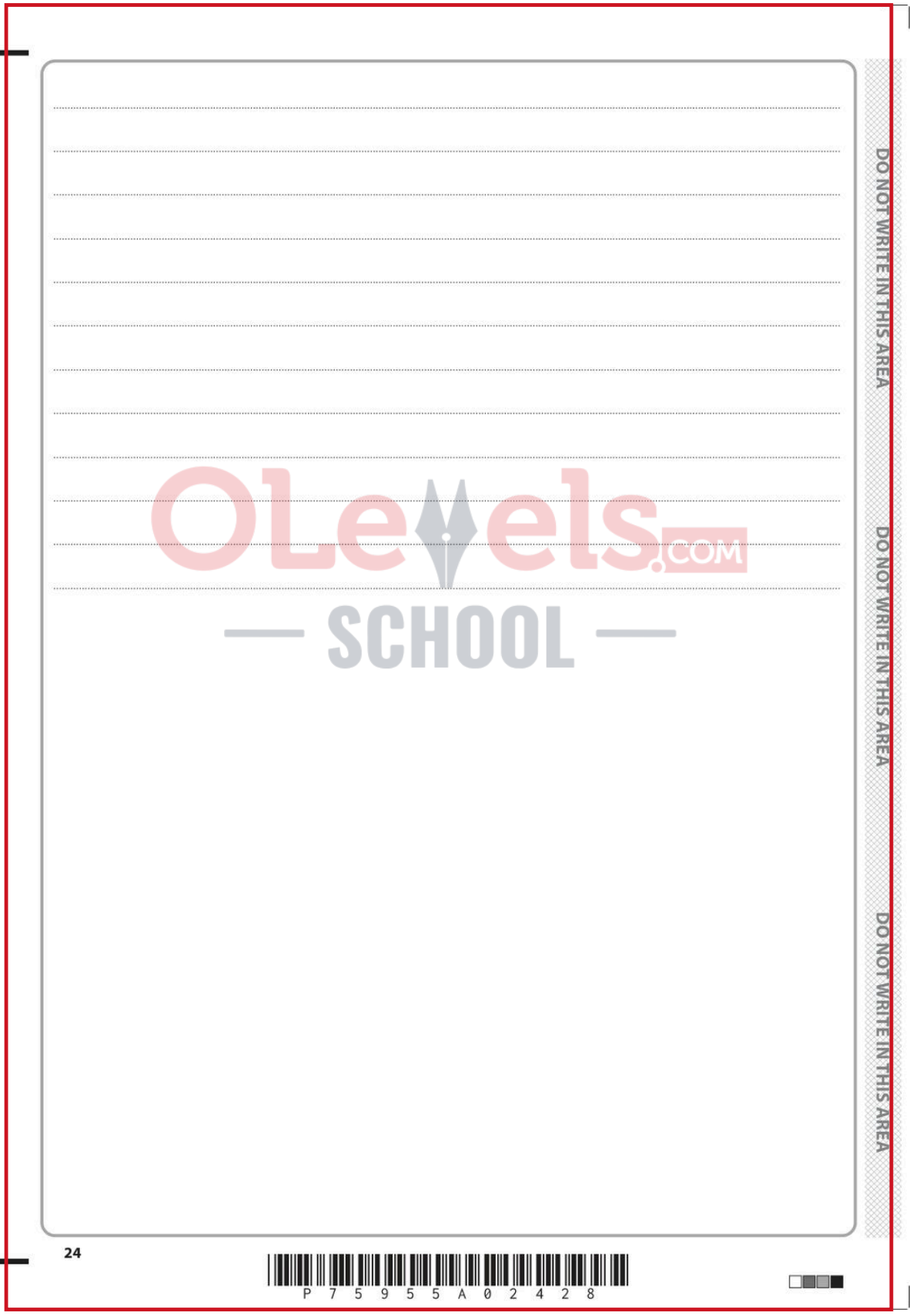
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1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

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In October 2023, India was once again considering joining the Regional Comprehensive Economic Partnership (RCEP).

The RCEP is the world's largest trading bloc, accounting for about 30% of global trade. It consists of 15 member countries including China, Japan and South Korea, the three largest economies in Asia.

India withdrew from RCEP negotiations in 2019, saying that it had concerns about the impact of the agreement on its domestic industries, particularly agriculture and manufacturing.

The Indian Government has been in talks with RCEP member countries to obtain a fair and balanced trade deal that would benefit all stakeholders.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits for India of joining the RCEP trading bloc.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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2. Question 3 · part c · 3 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In December 2017, Argentina's Consumer Price Index (CPI) increased from 20.9% to 25%.

(d) Analyse the possible impact of high inflation on consumers in a country such as Argentina.

(6)

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2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

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4 GDP per capita is a measure of a country's economic output that accounts for population. Figure 4 shows the population and gross domestic product (GDP) for Vietnam in 2016.

	2016
Population (million)	92.7
GDP (US$ million)	202 600

Figure 4

(Source: © 2018 The World Bank Group)

(a) Calculate, to two decimal places, the GDP per capita for Vietnam in 2016. You are advised to show your working.

(2)

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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

The unemployment rate fell in Vietnam between 2015 and 2016 but in the same period the inflation rate increased.

(b) Analyse how a fall in unemployment may have caused an increase in Vietnam's inflation rate.

(6)

OLevels.COM SCHOOL

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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

A report by the charity Oxfam, stated that Vietnam has 210 super-rich people. Their combined earnings for one year are enough to take 3.2 million people out of poverty and end absolute poverty in Vietnam. To reduce inequality and poverty, Oxfam is calling on international leaders to increase taxes to fund healthcare, education and job creation. Oxfam also asked business leaders to pay employees a living wage and pay their fair share of tax.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in progressive taxes is the most effective way to reduce inequality and poverty for a country such as Vietnam.

(12)

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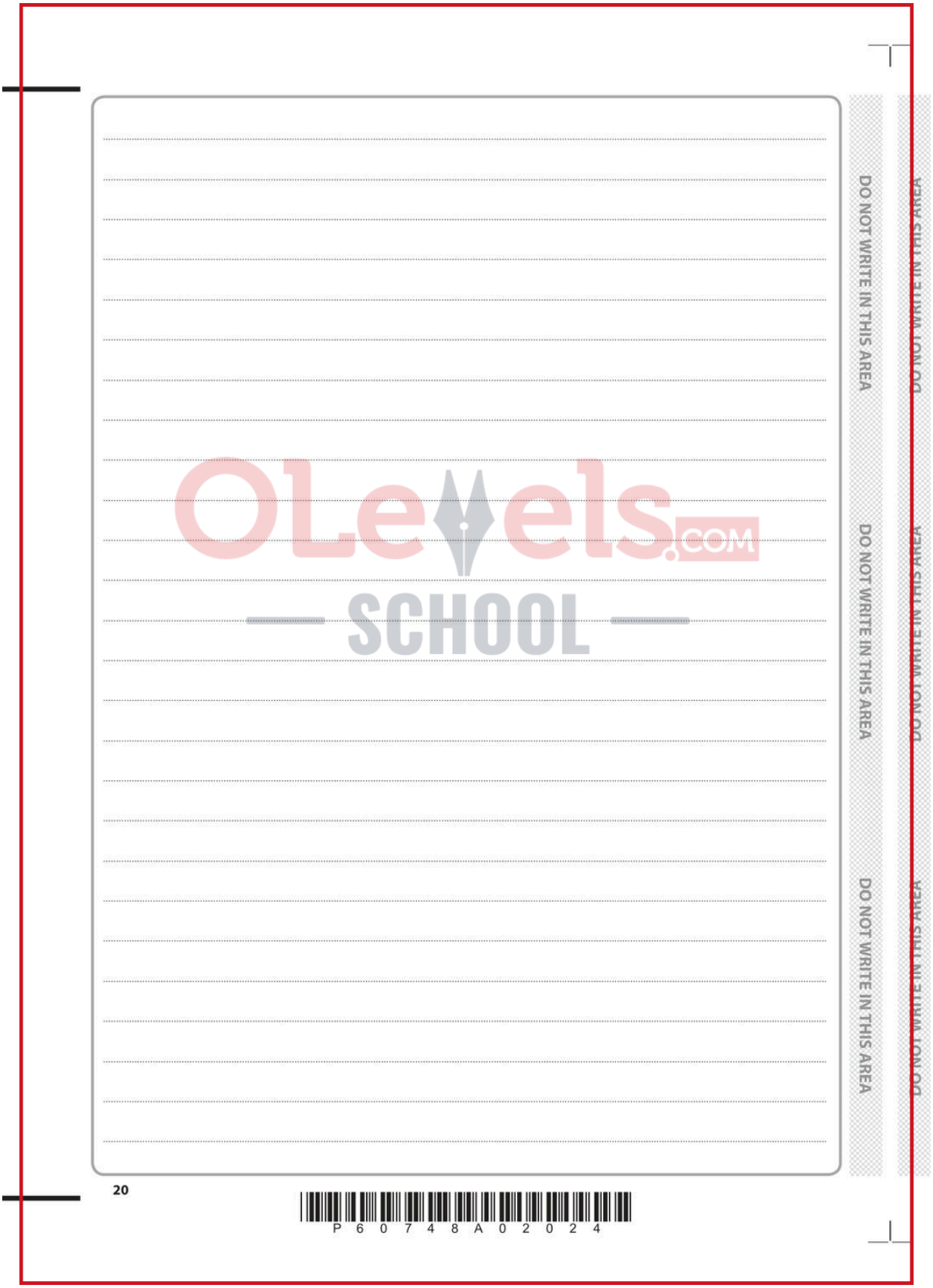
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3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

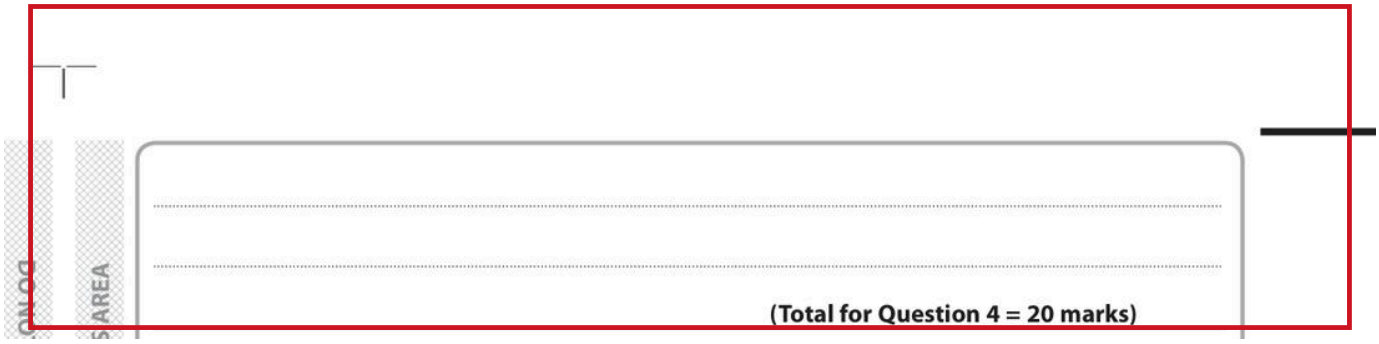
Further practice · Attempt part c only.



3. Question 4 · part c · 12 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.



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3. Question 4 · part c · 12 marks · Working and answer

Working and answer

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4. Question 2 · part a · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part a only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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P 5 8 3 8 4 A 0 8 2 4

4. Question 2 · part a · 1 mark · Working and answer

Working and answer

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

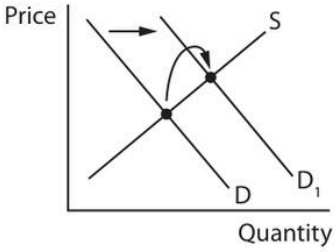
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2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

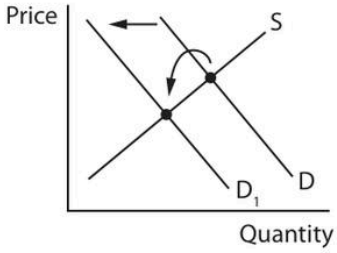
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

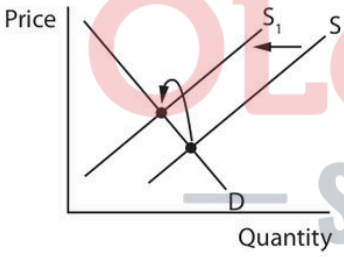
☒ **A**



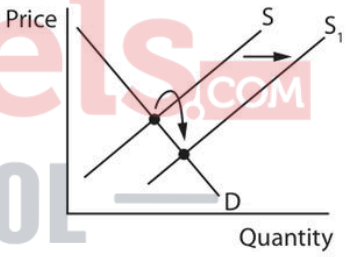
☒ **B**



☒ **C**



☒ **D**



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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

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In 2018, Germany had a current account surplus of €268bn. Germany uses the euro (€) which had recently weakened against other major currencies.

(e) Explain **one** reason why a fall in the value of the euro (€) may have resulted in a positive impact on Germany's current account.

(3)

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

In 2019, the Indian Government privatised six major state-owned airports. It handed over the operations, management and development of the airports to private sector firms for the next 50 years.

(f) Explain **one** way privatisation could improve productivity in these Indian airports.

(3)

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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.

Canada Child Benefit (CCB) payments get a boost

In 2018, the monthly tax-free welfare benefit for children was increased to match the cost of living in Canada.

The amount a family receives is calculated based on income. As a family's income rises the amount of benefits decrease. Some higher income households do not receive the benefit at all. The CCB has distributed more than CAD$23.3bn to around 3.7 million Canadian families, and has helped to remove more than 300,000 children out of poverty.

(g) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as Canada.

(9)

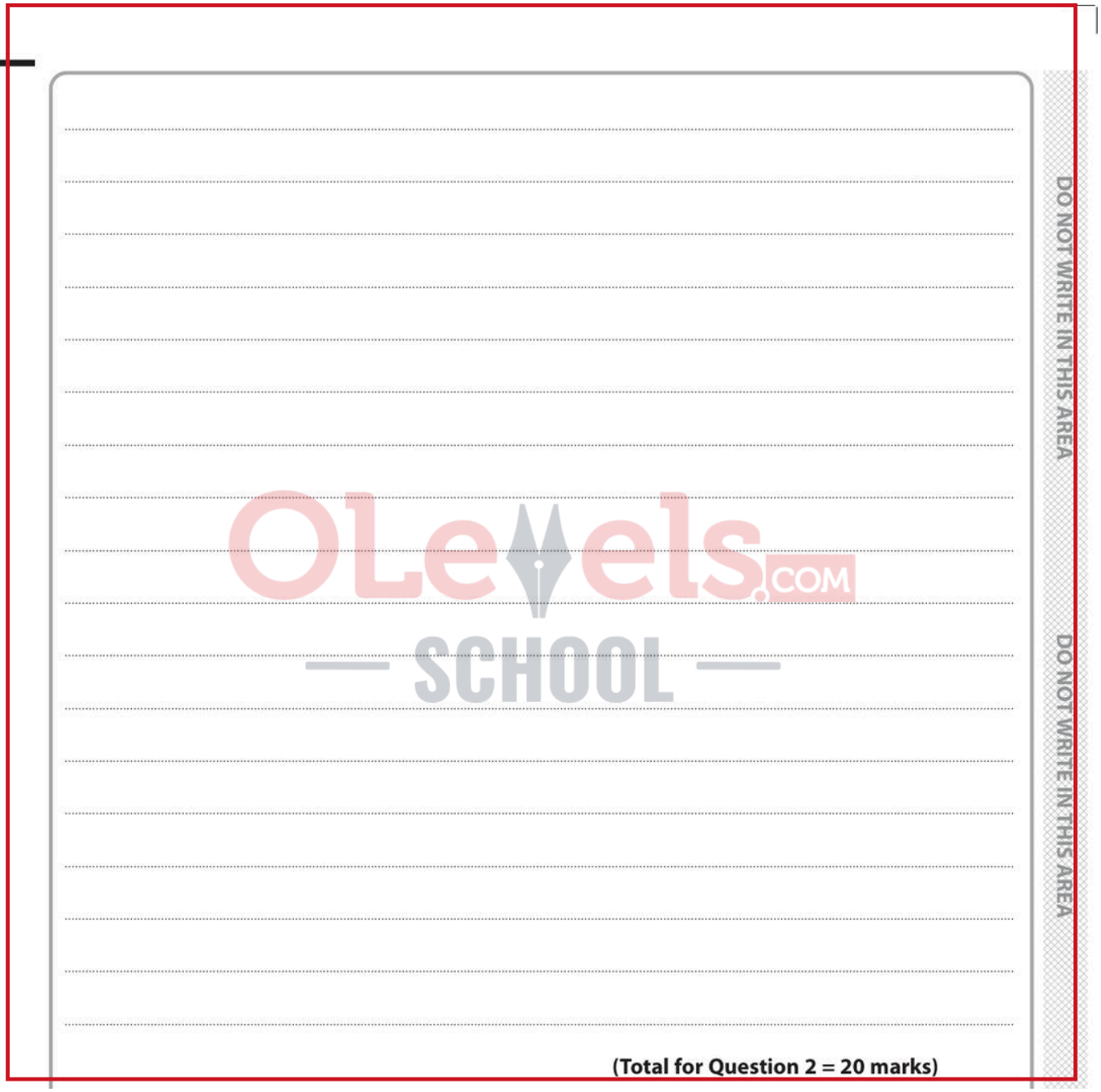
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5. Question 2 · part g · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part g only.



5. Question 2 · part g · 9 marks · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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6. Question 3 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

Palm oil is used in food and cosmetics. Palm plantations are a major agricultural activity in Indonesia. Many of the plantations are owned by foreign multinational corporations (MNCs).

(c) Explain **one** advantage for Indonesia of the palm oil plantations being owned by foreign MNCs.

(3)

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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7. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

The Slovenian Government spent €3.05bn on healthcare in 2019. This included additional funding for reducing the time people were waiting for treatment and an extra €104m to cover the recent increase in wage rates for healthcare staff.

(d) With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare.

(6)

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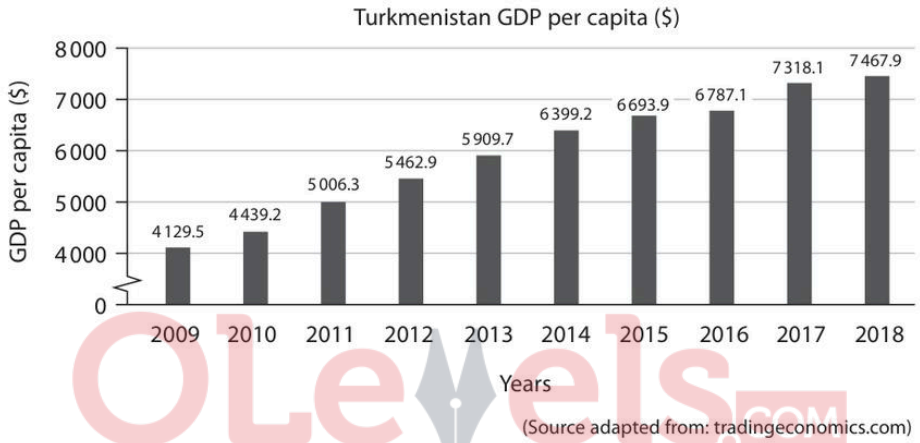
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7. Question 3 · part d · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

In recent years Turkmenistan has been one of the fastest growing economies. The most important sector of the economy is oil and natural gas extraction, which accounts for more than 60% of GDP. Although agriculture accounts for only 10% of GDP, it employs 50% of the labour force. Turkmenistan has seen annual GDP growth rates of 6.2%.



(Source adapted from: tradingeconomics.com)

Figure 4

(e) With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

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In December 2019 the unemployment rate in Venezuela was approximately 44%. This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

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By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

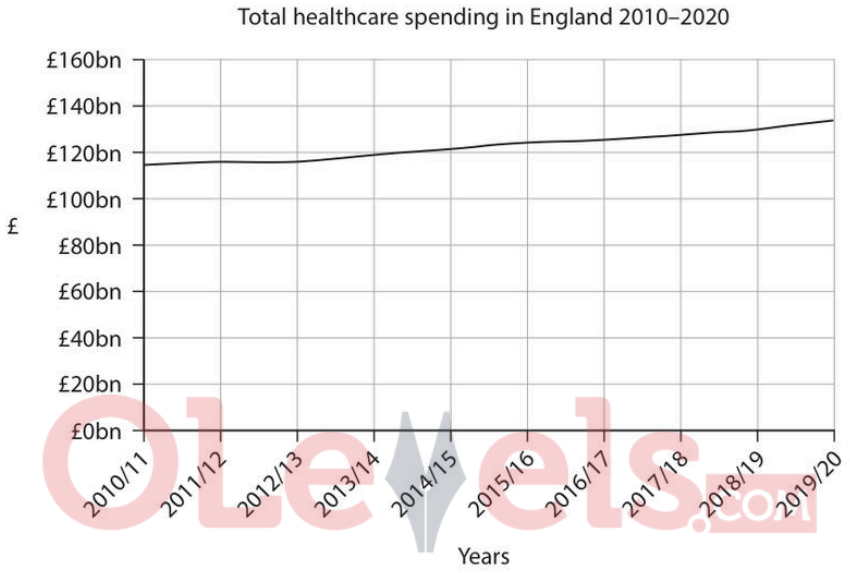
(3)

8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

Total healthcare spending in England was £129bn in 2018–2019 and was expected to rise to nearly £134bn by 2019–2020. Access to healthcare is free in England.



(Source adapted from: https://fullfact.org/health/spending-english-nhs/)

Figure 2

(g) With reference to the data above and your knowledge of economics, assess the use of investment in healthcare to reduce the level of inequality and poverty in a country such as England.

(9)

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8. Question 2 · part g · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

8. Question 2 · part g · 9 marks · Working and answer

Working and answer

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9. Question 1 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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9. Question 1 · part d · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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9. Question 1 · part d · 2 marks · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In February 2020, Singapore experienced deflation for the first time since January 2010. This was mainly caused by a decline in the price of airfares and holidays due to the government lockdown.

(d) With reference to the data above and your knowledge of economics, analyse the impact of deflation on consumer confidence in a country such as Singapore.

(6)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

The UK has a benefits payment called Universal Credit. It is a payment to help with living costs if a person is on low income or out of work.

	Monthly standard allowance (£)
Single adult aged under 25 years	342.72
Single adult aged over 25 years	409.89
A couple/two adults both aged under 25 years	488.59
A couple/two adults both aged over 25 years	594.04

Figure 3

(Source adapted from: https://www.gov.uk/universal-credit/what-youll-get)

(e) With reference to the data above and your knowledge of economics, assess the advantages of using benefit payments to redistribute income in a country such as the UK.

(9)

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10. Question 3 · part e · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 1 · part d · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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11. Question 1 · part d · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part d only.

(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

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11. Question 1 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 1 · part b · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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12. Question 1 · part b · 1 mark · Working and answer

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

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3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

In November 2020, Pakistan recorded a current account surplus of $1.64bn. This was its fifth consecutive current account surplus.

(c) Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account.

(3)

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

China has been investing in healthcare as the main way to reduce poverty. Over 90% of the medical bills of patients are now paid by the government.

(d) Analyse the benefits of investing in healthcare for a country such as China.

(6)

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13. Question 3 · part d · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

In 2021, the UK Government investigated multinational corporations (MNCs) suspected of moving profits made in the UK to other countries. It threatened large penalties for firms that were found guilty of not paying business taxes that were due.

The Government estimated that 2,000 large firms with operations in the UK may owe as much as £34.8bn in tax in the 2019–2020 financial year. This was up from £29.9bn in 2018–2019.

(e) With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country.

(9)

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16

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13. Question 3 · part d · 6 marks · Working and answer

Working and answer

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14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(f) Label the boxes in the diagram below with the three remaining stages of the economic cycle.

(3)

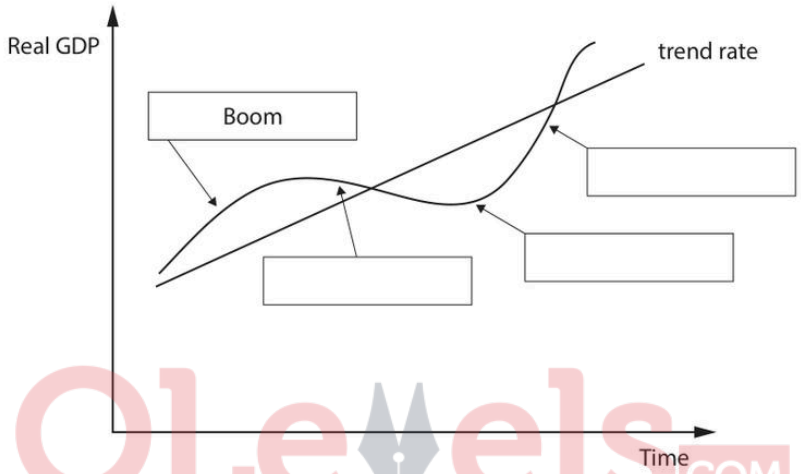


Figure 2

The Scottish Government is introducing a new benefit payment that will give 400,000 low income households £50 every winter towards their energy bills.

(g) Explain **one** reason why the Scottish Government gives benefit payments.

(3)

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P 7 4 0 5 9 R A 0 4 2 4

14. Question 1 · part g · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Singapore's gross domestic product (GDP) increased to 7.2% in 2021. This was mainly due to increased exports and an increase in consumer spending.

(h) With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore.

(6)

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14. Question 1 · part g · 3 marks · Working and answer

Working and answer

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15. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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15. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

Erasmus is an organisation that provides education and training for young people in Europe. In 2020, it funded over 640,000 educational experiences.

(e) Explain **one** impact education and training may have on inequality and poverty.

(3)

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15. Question 2 · part e · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

In 2021, the Canadian Government introduced subsidies for the purchase of electric vehicles.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

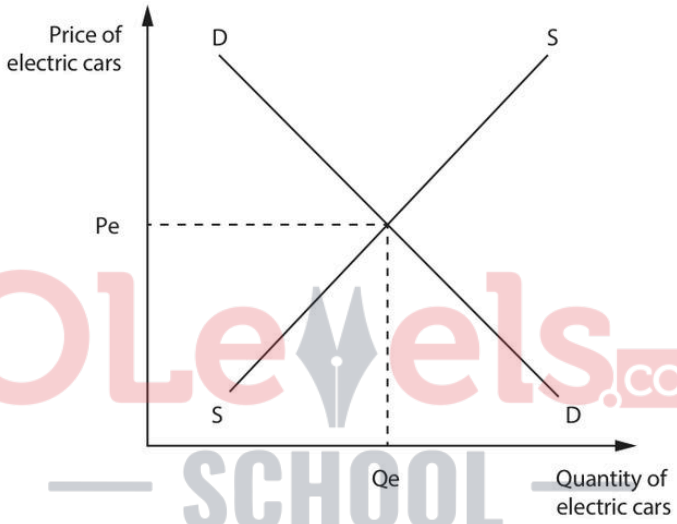


Figure 2

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15. Question 2 · part e · 3 marks · Working and answer

Working and answer

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16. Question 1 · part a · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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16. Question 1 · part a · 1 mark · Working and answer

Working and answer

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17. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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17. Question 2 · part e · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

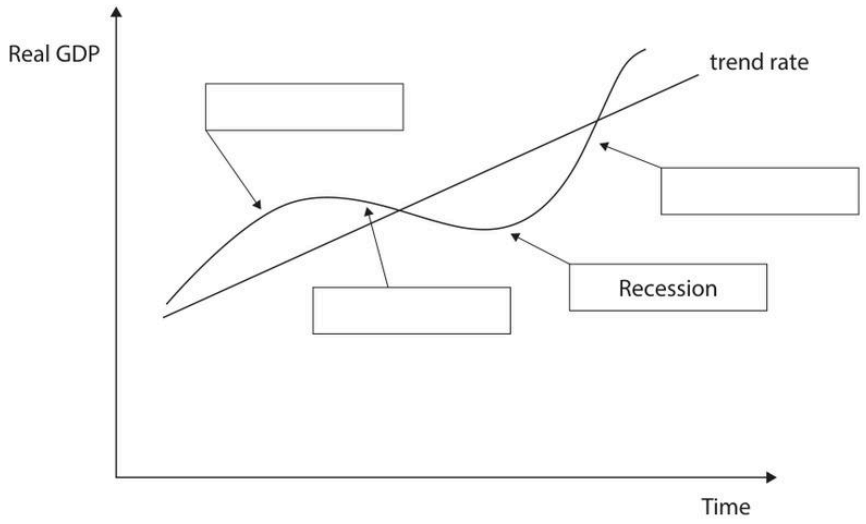


Figure 3

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17. Question 2 · part e · 3 marks · Working and answer

Working and answer

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18. Question 2 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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18. Question 2 · part a · 1 mark · Working and answer

Working and answer

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19. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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19. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

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19. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for UK pounds (£) against the US dollar ($).
Currency speculators think the value of the UK pound (£) is going to rise in the future.

(f) Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

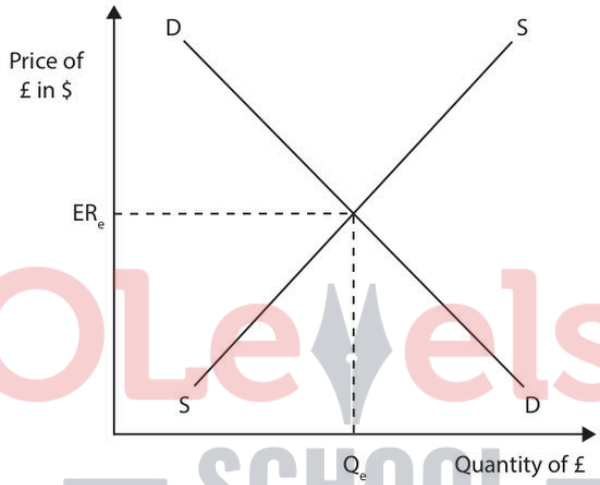


Figure 3

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19. Question 2 · part e · 3 marks · Working and answer

Working and answer

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